

JPM EUR High Yield Bond Active UCITS ETF

Tickers: JEHY, JEYH

Topline

Monthly returns	
Fund	Benchmark
▼ -0.47%	▼ -0.34%
Benchmark : ICE BofA Euro Developed Markets High Yield Constrained Index	
Markets European High Yield (EHY) posted a return of -0.34% in July. The benchmark's option-adjusted spread tightened by 12 basis points (bps) to 260bps; its yield-to-worst ended the month 15bps higher at 5.55%.	
Helped Underweight to the transportation sector.	
Hurt Overweight to the telecommunications sector.	
Outlook Excess returns from further spread-tightening could be limited at current levels, but attractive all-in yields, the market's short duration and a light summer calendar continue to support the bid for carry into August.	

Past performance and forecast is not a reliable indicator of current and future results.

Fund Overview

Investment objective

The objective of the Sub-Fund is to achieve a long-term return in excess of the Benchmark by actively investing primarily in a portfolio of EUR-denominated below investment grade corporate debt securities.

Trading information

Stock exchange	Exchange ticker	Trading currency	Bloomberg ticker	Reuters RIC	Sedol
London Stock Exchange	JEHY	EUR	JEHY LN	JEHY.L	BQB7X80
SIX SWISS	JEHY	EUR	JEHY SW	JEHY.S	BQFJXV5
Deutsche Borse	JEYH	EUR	JEYH GY	JEYH.DE	BQFJXW6
Borsa Italiana	JEHY	EUR	JEHY IM	JEHY.MI	BQFJXX7

Month in Review

- **The ETF returned -0.43%, underperforming its benchmark** by -9bps over the period (gross of fees, arithmetic excess returns).
- **Our top contributor to performance** in July was our underweight to the transportation sector, particularly due to our underweight to multinational airline, Air France-KLM, and our avoidances of Latvian flag carrier, Air Baltic, and French shipping company, CMA.
- **Credit selection within the consumer goods sector** was the second-greatest contributor to the Fund's performance, largely as a result of our underweight exposure to Dutch margarine producer, Flora Food Group, and helped by our avoidances of Dutch domestic appliances producer, Versuni, and Swedish supplier of mobile appliances, Dometic Group.
- **Our overweight to the telecommunications sector** was the top detractor from July's performance, in particular led by our overweights in British telco, Virgin Media, and Dutch cable operator, Ziggo.
- **A sector allocation that hurt the month's returns** was our credit selection in the basic industry sector, largely as a result of our avoidance of British carpet manufacturer, Victoria, and due to our overweights to modular services and infrastructure company, Modulaire Group, and British chemicals business, Synthomer.

Looking Ahead

- **Corporate health remains solid** and the EHY market's minimal tech and AI exposure has helped insulate it from recent market volatility.
- **Default rates continue to fall**, with instances of default becoming no less frequent, but the average size of defaulting issuers being meaningfully smaller than last year.
- **Technicals currently are highly supportive** of the EHY market. Retail fund flows have been consistently positive after rebounding from March's large outflow.
- **With virtually no primary issuance expected** in the month of August, recent flows should continue to drive demand in the secondary market.
- **Given how much recent financial market volatility** has been focused on rates and AI-related sector fears, the asset class's low interest rate duration and minimal exposure to either hyperscalers or software still could make EHY valuations appealing.

Opinions, estimates, forecasts, projections and statements of financial market trends are based on market conditions at the date of the publication, constitute our judgment and are subject to change without notice. There can be no guarantee they will be met.
All data is sourced by J.P. Morgan Asset Management and is correct as at the date of this commentary.

Performance and positioning

%	1M	3M	6M	YTD	1Y	Since inception
Fund	-0.47	1.10	0.73	1.43	2.75	4.04
Benchmark	-0.34	1.38	0.86	1.54	2.64	3.94
Excess return (geometric)	-0.13	-0.27	-0.13	-0.11	0.11	0.10

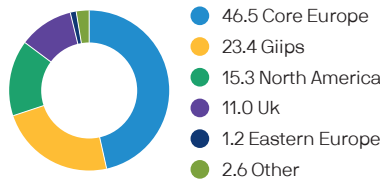
%	2025
Fund	5.31
Benchmark	5.02
Excess return (geometric)	0.28

Past performance and forecast is not a reliable indicator of current and future results.
Source: J.P. Morgan Asset Management. Share class performance is shown based on the NAV (net asset value) of the share class with income (gross of shareholder tax) reinvested including actual ongoing charges excluding any entry and exit fees. Performance over one year is annualised. Performance is shown based on the NAV which may not be the same as the market price of the ETF. Individual shareholders may realize returns that are different to the NAV based returns. Share class inception date is 10.12.2024.

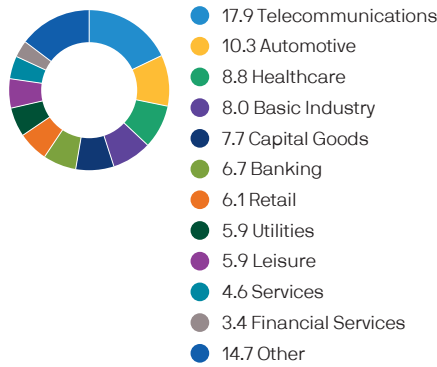
Holdings

TOP 10	Coupon rate	Maturity date	% of assets
Electricite de France	5.13	31/8/76	1.4
Bayer Aktiengesellschaft	6.63	25/9/83	1.4
Republic of Italy	2.20	28/2/28	1.0
Telefonica	6.14	31/8/76	0.9
Schaeffler Group	5.38	1/4/31	0.9
Mundys	4.50	24/1/30	0.9
Vodafone	8.00	30/8/86	0.9
EDP	4.63	16/9/54	0.9
ZF Friedrichshafen AG	7.00	12/6/30	0.8
Veolia Environnement	4.37	31/8/76	0.8

Country breakdown (%)



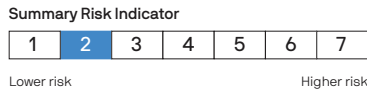
Sector breakdown (%)



RISK PROFILE

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The risk indicator assumes you keep the product for 5 years. The risk of the product may be significantly higher if held for less than the recommended holding period. In the UK, please refer to the synthetic risk and reward indicator in the latest available key investor information document.

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